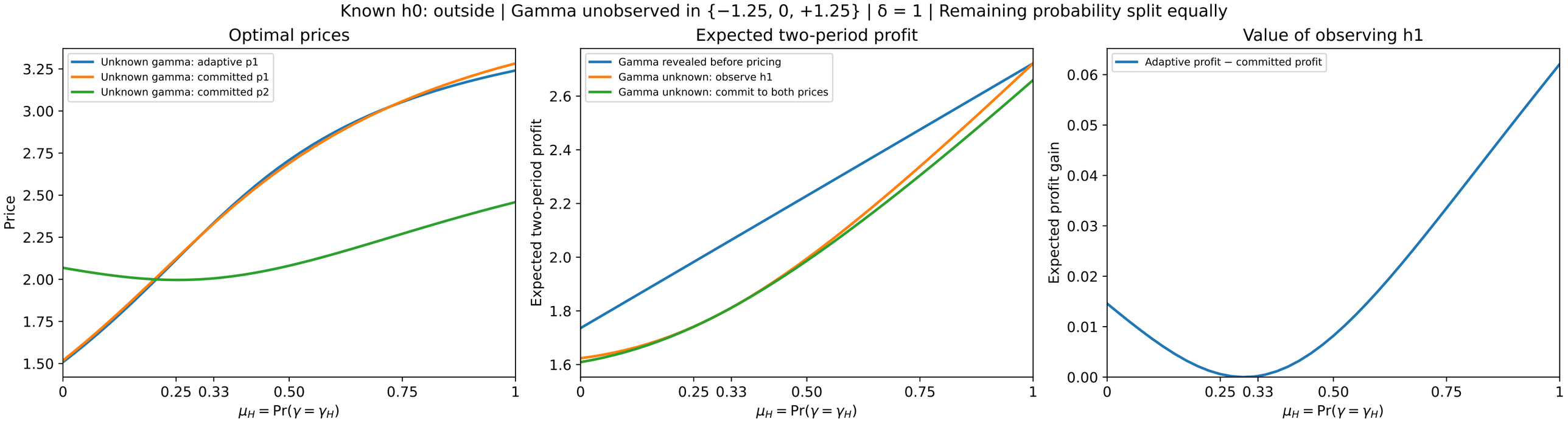
Known h0: outside | Gamma unobserved in {−1.25, 0, +1.25} | δ = 1 | Remaining probability split equally
Optimal prices
Price
Unknown gamma: adaptive p1
Unknown gamma: committed p1
Unknown gamma: committed p2
3.25
3.00
2.75
2.50
2.25
2.00
1.75
1.50
0
0.25
0.33
0.50
0.75
1
$\mu_H = \Pr(\gamma = \gamma_H)$
Expected two-period profit
Expected two-period profit
Gamma revealed before pricing
Gamma unknown: observe h1
Gamma unknown: commit to both prices
2.6
2.4
2.2
2.0
1.8
1.6
0
0.25
0.33
0.50
0.75
1
$\mu_H = \Pr(\gamma = \gamma_H)$
Value of observing h1
Expected profit gain
Adaptive profit − committed profit
0.06
0.05
0.04
0.03
0.02
0.01
0.00
0
0.25
0.33
0.50
0.75
1
$\mu_H = \Pr(\gamma = \gamma_H)$